

DAILY NEED TO KNOW

Monday, 3 August 2026 • Pre-market brief for Anne Wong

Covering the **Friday 31 July 2026 US session** as finally settled, the weekend, and the Globex reopen. All times GMT+8 (HKT). Asian cash markets have not opened; the live prices in this brief are futures, FX and crypto captured 06:55–07:15 GMT+8 Monday.

Edition: FULL — Hedgeye logged-in edition. Friday's Risk Ranges remain the live set until the Monday Early Look publishes ~19:25–19:55 GMT+8; a new ETF Pro Plus report landed 06:22 GMT+8 this morning and is carried in section 4.

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Market snapshot — Friday's close, and where it is trading now

ASSET	LAST	CHANGE	NOTE
S&P 500	7,489.72	▲ +52.09 / +0.70%	Friday cash close. Ranged 7,399.83–7,512.04, 48pts under the 7,538 ceiling
Nasdaq Composite	25,373.85	▲ +251.65 / +1.00%	Ranged 25,004.33–25,460.86. Still –6.7% from the 27,190.21 June record
Dow Jones	52,485.03	▲ +276.97 / +0.53%	Fourth straight winning month (+0.32% in July)
Russell 2000	2,931.34	▼ –14.76 / –0.50%	The only major index down on Friday
S&P futures (ES)	7,545.00	▲ +25.75 / +0.34%	LIVE 07:14. Off the reopen highs — CNN had S&P futures +0.5% at 06:00
Nasdaq-100 fut (NQ)	28,556.25	▲ +152.00 / +0.54%	LIVE. Best-performing leg of the complex, but fading through the capture window
Dow futures (YM)	52,794.00	▲ +159.00 / +0.30%	LIVE. Volume very thin — 1,404 lots
Russell futures (RTY)	2,951.80	▲ +13.80 / +0.47%	LIVE. Small caps leading the cash index they lagged on Friday, and the only leg still firming
US 10Y yield	4.745%	▲ +8.2 bp	Friday cash close — HIGHEST SINCE JAN 2025 , and Yahoo's 52-week high. Futures imply ~3–4bp lower now
US 30Y yield	5.28%	▲ +7 bp	A 19-YEAR HIGH on Friday. ZB contract +0.49% overnight — the long end is bid
US 5Y yield	4.460%	▲ +8.5 bp	Led the curve Friday. 52-week high 4.47%
US 2Y yield	4.262%	▲ +3.3 bp	Friday CNBC 17:05 EDT. ZT only +0.08% overnight — the front end is not moving
WTI crude (Sep)	\$81.07	▼ –3.60 / –4.25%	LIVE — THE MOVE OF THE WEEKEND, and still going. Opened ~–5.5%, was –4.05% at 06:59, –4.25% at 07:15. Trump halted strikes; OPEC+ added supply
Brent crude	n/a	▼ circa –5.6% at the reopen	No reliable live print. CNN put it near \$83 at 06:00; Yahoo's contract is stale at \$90.12 from Friday 14:28 EDT
Nat gas (Sep)	\$2.749	◆ +0.002 / +0.07%	LIVE. Did not participate in the crude move at all
RBOB gasoline (Sep)	\$3.0488	▼ –0.0654 / –2.10%	LIVE. Followed crude down but only half as far
Gold (Dec)	\$4,122.40	▲ +15.40 / +0.37%	LIVE. Up on a peace headline — back inside the \$3,991–\$4,139 band
Silver (Sep)	\$58.47	▲ +0.68 / +1.18%	LIVE. Best of the metals. Still a bearish TREND
Copper (Sep)	\$6.54	▲ +1.20%	LIVE. Recovered Friday's –0.14% and more. Only bullish-TREND metal
US Dollar (DXY)	99.65	▼ –0.26%	LIVE — BELOW Hedgeye's 99.76 floor. Ranged 99.55–99.69. See section 4
USD/JPY	157.403	◆ +0.003 / +0.00%	LIVE. Flat. The intervention level is holding without further operations
VIX	15.99	▼ –1.10 / –6.44%	Friday close. Ranged 15.82–18.70. Signal is BEARISH; band lowered
Bitcoin (live)	\$63,409	▲ +1.03% (24h)	07:15 GMT+8. ETH \$1,876.65 (+1.81%), SOL \$73.47 (+2.21%), XRP \$1.08, BNB \$587.36 (+2.17%)

Colour key: ▲ up ▼ down ◆ neutral/mixed. Green/red denote whether the move is risk-positive, not direction. Rows marked LIVE were captured from Globex/spot at 07:12–07:15 GMT+8 Monday 3 August; everything else is a Friday 31 July settle. Every live futures row reconciles exactly off Friday's settled marks — ES 7,519.25+25.75=7,545.00, NQ 28,404.25+152.00=28,556.25, YM 52,635+159=52,794, RTY 2,938.00+13.80=2,951.80, WTI 84.67–3.60=81.07, gold 4,107.00+15.40=4,122.40, silver 57.786+0.68=58.47, nat gas 2.747+0.002=2.749 — so this is one continuous tape, not a contract change. Copper is quoted at Yahoo's displayed precision and its absolute change is omitted because the two-decimal price rounds; the percentage is the reliable figure. **The tape moved during the capture window and in one direction:** between 06:59 and 07:15 crude fell from –4.05% to –4.25% while ES eased from +0.36% to +0.34% and NQ from +0.61% to +0.54%. Equity futures are fading and crude is still going. Cash Treasury yield indices do not update outside US hours; the overnight rate move is read off ZB/ZN/ZF/ZT futures. Crypto changes are rolling 24-hour.

TL;DR: The war got its first credible de-escalation headline in five months, and the oil market took it seriously. Almost nothing else did. Trump cancelled a planned "massive attack" on Iran on Saturday evening, said the "perimeters of a deal" — including the "Immediate, Complete, and Total OPENING OF THE HORMUZ STRAIT, and an end to Iran's nuclear threat" — had been agreed, and confirmed from Air Force One on Sunday that negotiations resume **this afternoon**. Crude opened about –5.5%, was –4.05% at 06:59 and sits **–4.25% at \$81.07** — it is still falling as Asia prepares to open. Separately, OPEC+ agreed on Sunday to add another **188,000 b/d in September** — the sixth consecutive increase, and the one that completes the unwind of the entire 1.65m b/d cut agreed in 2023. Two bearish crude inputs landed inside the same weekend.

What did not arrive is an equity melt-up. ES +0.34%, NQ +0.54%, YM +0.30% — and futures have already faded from the +0.5%/+0.8% CNN captured at the reopen, and faded again inside this brief's twenty-minute capture window. Treasuries rallied instead: the long bond contract +0.49%, which takes perhaps 3–4bp off a ten-year that closed Friday at 4.745% and a thirty-year at a 19-year high of 5.28%. Gold rose 0.37% and silver 1.18% **on a peace headline** — which is only strange if you have forgotten that gold has fallen through this war because oil drove real yields, not because the safe-haven bid failed. Take the oil out and you take the yield out, and gold gets its bid back through the rates channel

rather than the fear one.

The single most actionable line in this brief: **the dollar is at 99.65, below the 99.76 floor of Hedgeye's Risk Range**, one session after Keith initiated a long dollar and added UUP to the book. By his own rules a break of immediate-term TRADE support cuts the position to minimum size.

And the thing to hold on to is that **Iran has agreed to nothing**. Tehran's foreign ministry said on Sunday that the Iran-Oman understanding on a new shipping route is "unrelated to the reopening or continued closure of the Strait of Hormuz" — "a necessary condition, but not a sufficient one" — and Fars greeted the announcement with "Trump the fool has run out of steam!" Trump has announced halts repeatedly since 28 February. The June memorandum broke inside five weeks, and the Strait has been impassable since 8 July. This is a 4% price move on an announcement by one side of a two-sided negotiation that has not yet started.

2 The big picture — what it means

- Quad 3 is, underneath everything, an oil trade — and the oil just moved the other way.** Hedgeye's Global #Quad3 stagflation base case for 2H 2026, the bear steepener, the 30-year at a 19-year high, and Keith's stated plan to "front-run Warsh's next move toward an August inflation re-acceleration that prints in September" all run through one input: a closed Strait of Hormuz and a crude price that rose more than 20% in July. If Hormuz genuinely reopens, the inflation leg of Quad 3 loses its principal driver, and the positions most exposed are precisely the ones that have been working — long energy (XLE, CRAK, UGA, CERY), long TIPS (VTIP), short duration. Nothing about a Sunday headline settles that. But for the first time since February the base case has a live, dated, two-sided challenge to it, and the challenge starts negotiating this afternoon.
- The asymmetry between crude and equities is the tell.** A 4% break in oil on a genuine peace headline bought the S&P about a third of one percent. That is not a market that has been trading the war. Since Wednesday the index has been driven by memory pricing, hyperscaler capex and the discount rate — Amazon and Alphabet did 100% of Friday's work — and the war has been an energy-complex story with an equity footnote. If you have been treating Middle East headlines as a broad-market risk factor, this weekend priced that view for you: the correlation is in crude, refiners and the long end, not in the index.
- The bond rally is the part worth watching, not the equity gap.** Friday's one genuine break was the ten-year closing 4.745%, 3.5bp above a ceiling Hedgeye had lowered that morning to 4.71%, with the 5Y, 10Y and 30Y all at or within a basis point of their 52-week highs. The overnight bid in ZB (+0.49%) and ZN (+0.33%) against a nearly unchanged front end (ZT +0.08%) is a **bull flattener** — the mirror image of the move that has defined the last three weeks. If crude holds these levels into the US session, Friday's break of the 4.71% ceiling becomes a one-day overshoot rather than a regime change. If crude round-trips, it does not.
- OPEC+ is the underrated half of the weekend.** The 188,000 b/d September increase is the sixth in a row and completes the restoration of the full 1.65m b/d that the group removed in 2023. That supply is structural and entirely independent of whether Iran signs anything. Which means the downside case in crude is no longer just "the risk premium comes out" — it is "the risk premium comes out into a market where OPEC+ has already put every barrel back." The JMMC's own language was cautious, citing attacks on energy infrastructure that "require time-consuming and costly repairs" and maritime disruption that increases volatility. Both halves of that are true simultaneously, which is why the position size is the decision and the direction is not tradeable on a headline.
- And it is still the week Keith named.** He warned that vol-control and systematic funds can begin selling after month-end and that "the first week after month-end" is the one that matters. That week now starts with Asia opening into a US tape that faded Friday's record Korean session, a VIX at 15.99 carrying a bearish signal and a lowered band, ISM Manufacturing tonight, Palantir after the US close, AMD and SpaceX on Tuesday, the SpaceX lock-up on Thursday, and the July employment report on Friday — with a live US-Iran negotiation running underneath all of it. The insurance has not been this cheap in three weeks and the calendar has not been this dense since the FOMC.

3 Rates, currencies & commodities

- Rates: the bear steepener paused overnight, for the first time in three weeks.** Friday's cash closes: 30Y 5.28% (+7bp), 10Y 4.745% (+8.2bp), 5Y 4.46% (+8.5bp), 2Y 4.262% (+3.3bp), 13-week bill 3.682% (+0.7bp) — the belly led, and the 5Y, 10Y and 30Y all finished at or within a basis point of 52-week highs. Overnight the futures reversed it: ZB +0.49%, ZN +0.33%, ZF +0.22%, ZT +0.08%. The long end rallying four times as hard as the front end is the inflation trade coming out, not a growth scare going in. Cash yields do not print again until the US open — treat the implied 3–4bp as directional, not precise.
- The dollar broke its floor, two days into a new long.** DXY 99.65, ranged 99.55–99.69, against a Hedgeye Risk Range floor of 99.76 that held by 0.04 on Friday. EUR/USD 1.1549 (+0.18%), GBP/USD 1.3492, AUD/USD 0.7047 (+0.31%), NZD/USD 0.5898 (+0.35%). The commodity currencies leading on a day crude fell 4% tells you this is a dollar-down move rather than a growth-up move. Keith initiated the long dollar on Thursday on an oversold signal near the low end of the range and added UUP; the written weekly note has him buying against both euro and yen. **The level is now through the signal.** Note that Yahoo's DXY change calculation implies a prior close of 99.91 against the 99.80 this brief carried on Sunday — the level is firm, the delta is not.
- The yen did nothing, which is itself information.** USD/JPY 157.403, +0.003, unchanged to four decimal places. After two currency operations in 48 hours — the second of which Bloomberg reports was joint US–Japan buying rather than MoF alone — the pair has simply held the level it was pushed to, with no follow-through in either direction. No third operation was needed over the weekend. EUR/JPY 181.72 (+0.13%). The BoJ held at 1.00% on an 8–1 vote on Friday and warned core inflation will run "clearly above" 2% from 2H FY2026; a crude price 4% lower is the first thing that has happened since which argues the other way.

- **Oil: the risk premium came out, and then a third of it went back in.** WTI Sep settled Friday at \$84.67 (+1.29%) after a \$81.06–\$86.87 range. It reopened at 06:00 GMT+8 down about 5.5% near \$80, recovered to \$81.24 (–4.05%) by 06:59, then rolled over again to **\$81.07, –4.25%** by 07:15. So the market gave the announcement roughly \$4.50, took \$1.20 of it back, and is now handing it over a second time — which is not what a market does when it disbelieves a headline. Hedgeye's \$79.27–\$92.90 bullish band still contains it, but \$81.07 sits in the bottom quartile for the first time in weeks, and \$79.27 is now only **2.2% away**. Products lagged the crude move badly: RBOB –2.10%, heating oil –0.87%, natural gas +0.07%. Refining margins widen when crude falls faster than product — which is a point in favour of the CRAK long, not against it.
- **Metals rose across the board on a peace headline, and that is not a contradiction.** Gold \$4,122.40 (+0.37%), silver \$58.47 (+1.18%), copper \$6.54 (+1.20%), platinum \$1,669.20 (+0.63%), palladium \$1,294.50 (+1.02%). Gold has been down roughly 12% since the war began — not because the safe-haven bid failed, but because surging energy fed inflation expectations, drove real yields up, and forced liquidation did the rest. Remove the oil and you remove the yield, and gold gets paid through the rates channel instead of the fear one. Gold is back inside the \$3,991–\$4,139 band it briefly traded through on Friday; copper has more than recovered Friday's –0.14% and remains the only bullish-TREND metal. Wheat, unrelated but worth a line, closed Friday –3.18% — Keith removed WEAT from the long side that morning.

4 Hedgeye — regime, risk ranges & this morning's new ETF Pro Plus

New since Sunday's brief. Two items published overnight: **ETF Pro Plus — New Weekly Report** at 06:22 GMT+8 Monday (18:22 EDT Sunday), carried in full below, and **Trend & Tail Levels | Monthly Dashboard** at 06:45 GMT+8, which is outside this subscription's entitlements and was not retrieved. No new Early Look; Friday's "Crash, Bounce, Then?" risk ranges remain the live set until roughly 19:25–19:55 GMT+8 tonight, at which point every range in the first table below is superseded.

HEDGEYE MACRO DASHBOARD	READING	WHAT IT SAYS
US MONTHLY	QUAD 3	Growth slowing, inflation accelerating. Positioning label: Stagflation Protection
US QUARTERLY	QUAD 4	Growth slowing, inflation slowing. Positioning label: Defensive + Volatility Assets
GLOBAL	QUAD 3	Growth slowing, inflation accelerating. Stagflation Protection
VIX Gauge	15.99	Needle in the "Investable Bucket" (VIX 9–19), below Chop (20–29) and well below the tail bucket (30+)

From the Macro Week Summary published Saturday 05:59 GMT+8; unchanged over the weekend. The month and the quarter disagree, and that remains the position-sizing problem in one line — the monthly model says buy inflation protection, the quarterly model says buy defensives and volatility. Note what a reopened Hormuz would do to that disagreement: it pushes the monthly model toward the quarterly one, because Quad 3's inflation leg is largely an energy leg. That is the single highest-consequence thing to watch this week and it is not in any of the numbers yet.

Risk Ranges — Friday's Early Look, live until the Monday set publishes tonight

INSTRUMENT	IMMEDIATE-TERM RISK RANGE	TREND	WHERE IT STANDS NOW
S&P 500 (SPX)	7,316 – 7,538	Bullish	7,489.72 Friday; ES futures 7,545.00 — the futures are already through the cash ceiling
Nasdaq Composite	24,314 – 25,569	Bearish	25,373.85 Friday, 195pts under the ceiling. NQ +0.61% overnight
Russell 2000 (RUT)	2,904 – 2,990	Bullish	2,931.34 Friday; RTY 2,951.80 overnight — moved off the floor
US 10Y yield	4.59 – 4.71%	Bullish	4.745% Friday — BROKE THROUGH . Futures imply a partial recovery back toward the ceiling
US Dollar (DXY)	99.76 – 102.01	Bullish	99.65 — THROUGH THE FLOOR . Held by 0.04 Friday, gone this morning. New long; UUP added
WTI crude	\$79.27 – \$92.90	Bullish	\$81.07 — bottom quartile of the band, 2.2% off the floor. Bearish TRADE, bullish TREND
Nat gas	\$2.61 – \$2.93	Bearish	\$2.749 — mid-band, did not move overnight
Gold	\$3,991 – \$4,139	Bearish	\$4,122.40 — back inside after Friday's \$4,170.70 intraday overshoot
Silver	\$55 – \$60	Bearish	\$58.47 — turned back up toward the \$60 ceiling
Copper	\$6.19 – \$6.59	Bullish	\$6.54 — pressing the ceiling again. Still the only bullish-TREND metal
VIX	15.77 – 20.56	Bearish	15.99 Friday, 0.22 off the FLOOR; day low 15.82. DOWNGRADED from bullish
HY credit (HYG)	78.97 – 79.76	◆ Neutral	79.48 — UPGRADED from bearish; fourth signal flip in five sessions
IG credit (LQD)	105.7 – 107.3	Bearish	106.25 — sitting on its 52-week low of 106.00
Tech (XLK)	\$165 – \$181	Bearish	175.35 — TRADE \$180 / TREND \$176: Friday's high 178.62 failed both
Health Care (XLV)	\$159 – \$168	Bullish	162.55 (–0.59% Fri) — Keith bought the down day
Real Estate (XLRE)	\$44.99 – \$46.40	Bullish	45.07 (–0.51% Fri), near the floor. Also bought

Ranges are from Friday's Early Look "Crash, Bounce, Then?" (Keith McCullough, 07:38 EDT), published off Thursday's close. Two levels are now on the wrong side of the signal: the 10Y yield, which broke on Friday's close, and the US Dollar Index, which broke overnight. The TREND column carries Hedgeye's own directional signal — bullish on the 10Y yield or the dollar means the price trends higher, so it is a direction call and not a risk-positive one. The colour key in section 1 applies only to that table. Friday's Early Look published no Utilities (XLU) range, and none for USD/JPY, Brent, Nikkei, Kospi, Shanghai or DAX.

NEW — ETF Pro Plus, published 06:22 GMT+8 this morning

The full book, with TREND ranges as at 2 August. These are TREND-duration bands and are wider than the immediate-term Risk Ranges above — where both exist for the same ticker they will not agree, and the Early Look number is the one to trade off. Prices are Friday cash closes and **independently confirm this brief's Yahoo marks to the cent** on all sixteen overlapping tickers.

BULLISH — 25 POSITIONS	TICKER	PRICE	TREND RANGE	ADDED
Energy Sector	XLE	\$59.55	56.24 – 60.52	28 Jul
Oil Refiners	CRAK	\$55.24	52.03 – 56.99	28 Jul
Broad Commodities	CERY	\$35.96	35.04 – 36.98	29 Jul
Gasoline Futures	UGA	\$117.94	110.00 – 125.00	30 Jul
US Dollar Bullish	UUP	\$28.17	28.00 – 28.60	30 Jul
Physical Gold	AAAU	\$39.93	39.26 – 41.76	Feb 2025
Health Care	XLV	\$162.55	158.00 – 168.00	17 Jun
Healthcare Equity	FXH	\$127.08	121.00 – 131.00	12 Jun
Real Estate	XLRE	\$45.07	44.53 – 46.41	17 Jun
US REITs	BBRE	\$109.85	107.00 – 114.00	30 Jul
Office REITs	DESK	\$42.26	41.43 – 43.77	10 Jul
S&P Equal Weight	RSP	\$215.01	211.00 – 218.00	21 Jul
Brazil	EWZ	\$36.65	35.47 – 37.92	16 Jul
New Zealand	ENZL	\$46.82	45.99 – 47.66	17 Jul
Philippines	EPHE	\$25.56	24.96 – 26.14	21 Jul
Colombia	COLO	\$46.47	44.11 – 47.22	17 Jul
US TIPS	VTIP	\$49.66	49.50 – 49.91	22 Jul
Plus BUXX, CLOX, CLOZ, VYM, IAK, FAB, NOBL, IPAY	—	—	—	—

BEARISH — 16 POSITIONS	TICKER	PRICE	TREND RANGE	ADDED
Hedge Fund VIP	GVIP	\$167.99	159.00 – 177.00	31 Jul — newest
Lithium Tech	LIT	\$69.22	66.17 – 71.81	30 Jul
AI Technology	AIQ	\$58.89	55.59 – 61.66	30 Jul
AI Revolution	IVES	\$36.04	33.17 – 37.70	29 Jul
Consumer Discretionary	XLY	\$116.09	108.00 – 118.00	29 Jul
Technology Sector	XLK	\$175.35	165.00 – 184.00	22 Jul
Technology Momentum	PTF	\$98.14	83.44 – 111.00	22 Jul
South Korea	EWY	\$157.10	141.00 – 175.00	20 Jul
Meme	MEME	\$7.03	5.86 – 8.31	22 Jul
Future Vehicles	CARZ	\$102.14	99.00 – 108.00	24 Jul
Uranium	URA	\$39.07	37.14 – 42.07	16 Jun
Silver Miners	SIL	\$73.75	71.41 – 77.92	2 Jul
MSTR Income Strategy	MSTY	\$12.15	11.51 – 14.60	12 Jun
South Africa	EZA	\$63.62	60.01 – 65.02	29 Jul
Qatar	QAT	\$17.38	17.04 – 17.95	16 Jul
Israel	EIS	\$119.35	115.00 – 122.00	23 Jun

Read the book against the weekend, because it was struck before it. The long side is heavily levered to the war staying hot — XLE, CRAK, UGA, CERY and UUP were all added in the last six sessions, and four of the five are energy. The short side carries two Gulf-war expressions, QAT and EIS, that a genuine peace deal would hurt. And EWY sits short at \$157.10 inside a 141–175 TREND band that is wide enough to contain almost anything Seoul does today. This is a book built for Quad 3 with a closed Strait; the negotiation that begins this afternoon is the direct challenge to it.

Also on the desk — what Keith actually did on Friday, carried forward

- ▲ **NEW LONG: the US dollar.** Initiated on an immediate-term oversold signal near the low end of the Risk Range, with UUP added. His written framing: the dollar first rose because leveraged funds were forced to raise cash as equities fell; when that forced deleveraging stopped, the dollar reversed hard enough to trigger the buy. Bullish TREND, not yet bullish TRADE. **It is now below the floor of the range he bought it in.**
- ▼ **NEW SHORTS: lithium, and Hedge Fund VIP (GVIP).** Lithium sourced through the Alpha Code screen "rather than through a fundamental narrative or Wall Street analyst recommendation." GVIP — the most widely-held hedge fund longs — added at 10:35 EDT Friday; it closed -0.64% on a +0.70% S&P day. Wheat (WEAT) removed from the long side, and wheat then fell 3.18%.
- ▲ **BOUGHT on weakness: XLRE and XLV.** Both fell on Friday and both made money through the monthly drawdown, which is why he added. Also long equal-weight S&P (RSP), Brazil (EWZ, sized materially), New Zealand (ENZL) and the Philippines (EPHE). ENZL is the one with a live mark this morning — the NZX 50 is the only cash market open, and it is up 0.37%.
- ▼ **BEARISH: Bitcoin versus the dollar.** His preferred negative-correlation trade to the new dollar long. BTC broke its immediate-term TRADE level near \$64,000 and is below both TRADE and TREND. It is \$63,409 this morning, +1.03% on 24 hours — **still below the TRADE line, but closing on it**, while the other side of the pair trades below its own floor. Both legs are working against him at once.

- **The rest of the book.** Portfolio Solutions ETF re-rank top movers: XLV (+12), RSP (+9), AAAU (+6) — health care, equal weight and gold. Signal Strength Stocks: 66 names, 4 added (TRU, EXPGY, LH, UL), 4 removed. MOMO Tracker (Friday 08:34 EDT): "Mag7 (+2%), MSFT=BULLISH, AMZN=NEUTRAL, Crash→Oversold→Bounce→Then?" Exited all European positions and Utilities before European markets moved higher.

5 Mag7 scoreboard (Fri 31 Jul close)

NAME	LAST	DAY	CAP	READ
Amazon (AMZN)	\$271.58	▲ +15.32%	\$2.92T	Top S&P 500 gainer and the biggest Mag7 move of the week. AWS +37% to \$42.2bn — fastest in 15 quarters. Capex to ~\$220bn
Alphabet (GOOGL)	\$356.13	▲ +6.73%	\$4.36T	Google Cloud revenue +82%. The AI-monetisation bid found it two days after it was being sold as a safe harbour
Meta (META)	\$556.71	▲ +3.28%	\$1.42T	A bounce, not a repair. Still ~30% below the 52-week high of \$796.25 after Wednesday's -7.95%
Microsoft (MSFT)	\$464.72	▲ +3.02%	\$3.45T	Up more than 20% in July — its best month since October 2007. Azure past \$100bn annual revenue
Nvidia (NVDA)	\$200.75	▲ +2.93%	\$4.86T	Back over \$200 and the world's largest company again. Participated without leading, third straight session
Tesla (TSLA)	\$311.21	▲ +0.76%	\$1.23T	Held \$300 for a third day. Still the Mag7 laggard year-to-date with no catalyst of its own
Apple (AAPL)	\$308.91	▼ -7.35%	\$4.54T	WORST Mag7 day. Services and China both short; September quarter guided light on supply constraints and memory costs. Cook's final call as CEO

Friday official cash closes, unchanged from Sunday's edition to the cent. Six of seven rose. The four hyperscalers — Amazon, Microsoft, Alphabet and Meta — have collectively guided to \$720–745bn of 2026 capital expenditure, and Bloomberg puts Big Tech's total outstanding AI spending commitments at roughly \$2 trillion. Note what a lower oil price does to none of this: the Mag7 dispersion this week was memory cost and cloud growth, and the weekend changed neither.

6 Positioning & options

- **The dollar break is the position to check first.** Not because it is the largest exposure but because it is the newest and the least seasoned. Keith initiated Thursday, added UUP Friday, and the level is through the floor by Monday morning. His own written rule: break TRADE support, reduce to minimum size; break TRADE and TREND, stop out and consider the other side. The TREND on the dollar is still bullish, so this is a size decision rather than an exit — but it is a decision, today, and it is the one item in this brief with a rule attached to it.
- **Energy is the crowded end of the long book into a peace negotiation.** XLE, CRAK, UGA, CERY — four energy or energy-adjacent longs, all added between 28 and 30 July, at the top of a month in which crude rose more than 20%. Crude is -4% before Asia opens. The refiner leg is the least exposed, because RBOB fell only half as far as crude and crack spreads widen on that; PBF, Delek US, Par Pacific and HF Sinclair all closed at records on Thursday, PBF up 170% year-to-date. The gasoline futures leg (UGA, band 110–125, last 117.94) is the most exposed, and it is mid-band with room to fall before the signal changes.
- **Friday's intraday reversal has not been repriced by any of this.** Micron traded \$930.88 and closed \$823.03 — an 11.6% round trip inside one session, finishing -5.90%. AMD: high \$515.62, close \$476.15. Intel: high \$97.90, close \$90.20. SMH: high \$561.44, close \$540.53. EWY: high \$166.04, close \$157.10, -2.55%. The S&P printed 7,399.83 at the low, below Thursday's close, before finishing 7,489.72. None of that was about Iran and none of it is resolved by the weekend. AMD reports Tuesday into it.
- **Equal weight had a historically bad relative day and Hedgeye has put a number on it.** RSP closed 215.01, -0.17%, against the cap-weighted S&P +0.70% — 87 basis points of underperformance in one session. The written weekly note calls it the third-largest SPX-versus-equal-weight return spread on record, and gives the mechanism: semis drove more than 30% of the index-level gain while over half of SPX constituents closed red. Keith remains long RSP. RTY futures +0.44% overnight, ahead of ES, is the first thing that has cut the other way in a week.
- **Negative gamma is on the record, and the calendar is dense.** The Macro Week Summary states plainly that SPX "remains in negative-gamma territory" and that bond-market vol (MOVE) flags a rates situation that only gets more volatile. Negative gamma amplifies declines and produces sharp countertrend rebounds — which describes Thursday and Friday exactly, in that order. VIX 15.99 with a bearish signal, a lowered band and a gauge reading in the Investable Bucket is the cheapest insurance has been in three weeks, going into ISM tonight, ADP and ISM Services Wednesday, payrolls Friday, and a live negotiation.
- **The bounce math is unforgiving and unchanged.** High Beta Momentum rebounded roughly 14% across Thursday and Friday and remains approximately 60% below its peak — requiring about a 150% gain to recover. Korea rose 17.91% in a day inside a month it fell 22.19%, and is still around 29% below its 52-week high of 9,385.59. A very large percentage bounce off a very low base is arithmetic, not a signal. Separately, AAIL bearishness was 42.1% in the week to Wednesday — a 25th consecutive week above the 31.0% historical average. Sentiment has been pessimistic through both the crash and the bounce; it is not a timing tool here.

7 Sector rotation — leaders & laggards (Fri 31 Jul)

- ▲ **Leaders.** Consumer Cyclical +4.94% (Amazon alone), Communication Services +3.99% (Alphabet), Energy +0.95% with XLE +1.00%, Industrials +0.39%, Financial Services +0.37%. Single names: Replimune +133% (FDA advisory committee voted 10–3 for RP1 in advanced melanoma), IES Holdings +30.27% to \$744.54, AXT +28.74%, Integer Holdings +20.18%, Ambarella +16.08%, Amazon +15.32%, Alphabet +6.73%, Chevron +2.35%.
- ▼ **Laggards.** Healthcare –0.55% (worst), Utilities –0.37%, Consumer Defensive –0.27%, Technology –0.15% (XLK itself –0.22%). Single names: Roblox –26.85% to \$35.60, Veracyte –22.52%, Universal Music –23% and halted in Amsterdam with Vivendi –17.8%, Reddit –20.99% to \$140.67 — its worst day on record — Alignment Healthcare –20.20%, MasTec –18.91% to \$263.10, GoDaddy –10.9%, Coinbase –10.59%, Novo Nordisk –8.78%, Apple –7.35%, NXP –6.53%, Micron –5.90%, SpaceX –3.41% to a record low.
- ◆ **Rotation read, and what the weekend does to it.** Two sectors did 100% of Friday's work and they were the two that own Amazon and Alphabet. Strip those out and Friday was a down day: Technology, Healthcare, Consumer Defensive and Utilities all fell, the Russell fell, equal weight fell, the intraday low was below Thursday's close, and every metal fell. Energy's +0.95% was earnings — Chevron's \$12bn quarter — rather than the barrel. That distinction matters more this morning than it did on Friday, because the barrel just fell 4% and the earnings did not change. Expect the energy complex to separate today into names that were bid on crude and names that were bid on cash flow; the refiners sit in the second group and the producers in the first.

8 Forward — futures & the week ahead

- **Where the tape is as Asia prepares to open.** Globex reopened 06:00 GMT+8. At 07:14: ES 7,545.00 (+0.34%), NQ 28,556.25 (+0.54%), YM 52,794 (+0.30%), RTY 2,951.80 (+0.47%) — all four green, but three of the four have faded inside the last fifteen minutes and all four are off the reopen highs CNN captured at +0.5% to +0.8%. Treasury futures firmly bid, the long bond +0.49%. WTI –4.25% at \$81.07, still making new lows. Dollar 99.65. Crypto up modestly: BTC \$63,409 (+1.03%), ETH \$1,876.65 (+1.81%), SOL \$73.47 (+2.21%), BNB \$587.36 (+2.17%), XRP \$1.08 (+2.01%), ADA +8.67%, Zcash +5.74%. The only cash equity market trading is New Zealand, and the NZX 50 is +0.37% at 13,749.80.

DAY (GMT+8)	KEY EVENTS
Mon 3 Aug	★ US-Iran negotiations resume this afternoon (US time) — the single largest swing factor of the week, and the one with no scheduled release time. ★ Asia reopens and has to price both the weekend headline and the fact that New York faded Friday's melt-up: Kospi 6,595.45 after a record +17.91% day and a –22.19% month, Taiwan 43,119.75 after +7.98%, Nikkei 64,362.02 after +4.03% — with EWY –2.55% as the only real-time mark on any of it. ★ US S&P Manufacturing PMI 21:45, ISM Manufacturing PMI 22:00 — consensus 54.0 against a prior 53.3, with prices paid seen falling to 70.0 from 73.0 and new orders rising to 57 from 56. June construction spending. China Caixin manufacturing PMI, after the official gauge unexpectedly contracted to 49.2. ★ Palantir reports after the US close — consensus revenue ~\$1.81bn, +81% y/y. Also Pfizer, BP (which announced it will sell its entire North Sea business), Energy Transfer.
Tue 4 Aug	★ SpaceX (SPCX) reports its first quarterly results as a public company , after the close — into a record-low share price, a –36% month and more than \$1.2trn of market value erased from the 16 June high of \$225.64. This also starts the lock-up clock: 20% of frozen shares, up to ~\$11.5m, become sellable on Thursday 6 August, with a further 10% unlocking if the stock climbs 30% above the \$135 IPO price. The most binary event of the week for the new-issue complex. ★ AMD reports after the close — the name that traded \$515.62 and closed \$476.15 on Friday. ★ US trade balance 20:30, JOLTS job openings 22:00, API crude stocks 04:30. McDonald's before the open.
Wed 5 Aug	ADP employment change 20:15, S&P Global Services PMI 21:45, ISM Non-Manufacturing PMI 22:00, China Caixin services PMI. Eli Lilly and Walt Disney report before the open. EIA crude inventories — the first official read on whether any of the weekend's supply story is showing up in the data.
Thu 6 Aug	★ SpaceX lock-up expiry — the first big unlock lands two full trading days after earnings. Weekly jobless claims 20:30.
Fri 7 Aug	★ US July employment report, 20:30. The first hard labour print since three FOMC members dissented in favour of a hike on 29 July. June ran +57,000 payrolls with unemployment at 4.2%; economists expect the unemployment rate to hold at 4.2% in July, and no firm payrolls consensus had been published at this brief's data cut. This supersedes the 5.4% figure carried in the 1 August edition, which was wrong — see Data-confidence.
Watch	Whether Iran says anything at all that corroborates Trump's version — Tehran has so far denied every element of it. Whether crude holds \$79.27, the floor of Hedgeye's band, now 2.2% away. Whether the dollar recaptures 99.76. Whether the first week after month-end brings the vol-control and systematic selling Keith flagged. And the structural one: Fed Chair Kevin Warsh has raised reducing the number of FOMC meetings from eight per year, with a decision possible before the mid-September meeting.

Times converted to GMT+8 from Hedgeye's "Coming Up This Week" panel and CNBC's week-ahead preview by adding 12 hours to ET. Earnings-date conflict, unresolved and now in its third day: Yahoo Finance's calendar dock still lists Palantir on 4 August and SpaceX on 5 August; CNBC, Reuters, TradingKey and the companies' own release dates put Palantir on Monday 3 August and SpaceX after the close on Tuesday 4 August. This brief uses the latter. Verify before positioning around either.

9 Corporate news

- **Amazon: the quarter that carried the index.** +15.32% to \$271.58, adding roughly \$390bn of market value, on AWS +37% year-over-year to \$42.2bn — the fastest growth in 15 quarters — with the AI business and Amazon's own silicon each running above a \$25bn annualised rate. The cost: 2026 capex raised to roughly \$220bn from \$200bn on higher memory prices, and trailing-twelve-month free cash flow now an outflow. The market has twice in 48 hours chosen the cloud growth rate over the cash flow.
- **Apple: the other side of the same shortage.** –7.35% to \$308.91, the worst Mag7 day and roughly \$360bn of market value, after Services revenue and China both came in short and the September quarter was guided light on "supply constraints." Tim Cook, in his final earnings call as CEO, warned directly on memory costs. Apple is the cleanest large-cap short expression of the memory squeeze and has now said so on the record twice.
- **BP reports today, having just put the North Sea up for sale.** The company announced it will sell its entire North Sea business — roughly 1,100 employees, two central North Sea hubs and three sites west of Shetland — and reports Monday. It is the first major integrated to report into a 4% crude break, and the disposal makes the read on portfolio strategy as important as the quarter.
- **Chevron and Exxon, on a war quarter that is now ending.** Chevron net income \$12bn, up roughly 400% from \$2.5bn a year ago; adjusted EPS \$6.06, fifty cents ahead. CEO Mike Wirth: "We're kind of firing on all cylinders, which is good, because the world needs it." Shares +2.35%. Exxon

also beat on surging crude but closed -0.97%, having been down more than 2% intraday. The market was already paying for refining and downstream leverage rather than integrated production — and a weekend that took 4% out of crude while taking only 2.1% out of gasoline sharpens that preference rather than reversing it.

- **Strategy (MSTR): an \$8.22bn quarterly loss, and the buying has stopped.** Net loss \$8.22bn for Q2, of which an \$8.32bn unrealised loss on bitcoin. The stock rose 4.4% on the day because the loss is an accounting entry rather than a cash outflow. The number that matters more: Strategy has gone five weeks without a bitcoin purchase, its longest break, with the last buy 520 BTC for \$35m in the week of 15–21 June. It raised \$8.41bn through at-the-market stock sales in the quarter and put it into a dollar reserve to fund preferred dividends and debt, not into coin. The largest structural bid in bitcoin has been switched off; MSTR closed -4.56% Friday and Hedgeye is short MSTY.
- **Reddit: the first data point on the other AI trade.** -20.99% to \$140.67, the worst day in the company's history, because it did not announce new AI data-licensing deals and its US daily active user metric disappointed. Reddit was the first pure-play "our data is worth something to model builders" story. The first time that revenue line failed to grow, the multiple went with it. Watch which other content and data businesses are valued on the same assumption.
- **Deals, and the rest of the tape.** Blackstone agreed to acquire HSBC's A\$36bn (\$25bn) Australian home and personal loan portfolio — Blackstone calls it the largest home loan portfolio transaction globally; HSBC's Hong Kong shares hit an intraday record. Alimentation Couche-Tard will buy Poland's Żabka at about \$8.6bn after Seven & i could not agree terms. Novo Nordisk -8.78% after ziltivekimab failed to cut major adverse cardiovascular events. Universal Music -23% and halted, dragging Vivendi -17.8%. Coinbase -10.59% on a third consecutive quarterly loss. Moderna cut its 2026 R&D budget to \$2.9bn. The Trump administration added six chipmakers to the US government's equity portfolio, and Elon Musk launched X Money with an X-branded Visa card.

10 Macro data

- **OPEC+ added supply for a sixth consecutive month, and finished the job.** The Joint Ministerial Monitoring Committee agreed on Sunday to raise September output by 188,000 barrels a day. That increment completes the gradual unwind of the 1.65m b/d production cut the group agreed in 2023 — the entire tranche is now restored. The statement made no reference to the war or to Hormuz; it did express concern about attacks on energy infrastructure, which "will require time-consuming and costly repairs," and noted that maritime trade disruptions "increase market volatility." Read the two together: OPEC+ has put every barrel back while acknowledging it cannot reliably move them.
- **The labour print that matters is Friday's, and the consensus conflict is now resolved.** June ran +57,000 nonfarm payrolls with the unemployment rate at 4.2%; economists expect 4.2% again for July, with no firm payrolls consensus published at this brief's data cut. This settles the discrepancy flagged over the weekend — the 5.4% unemployment consensus carried on 1 August was not correct and was withdrawn on 2 August. Establish your own payrolls number before Friday, but the rate to anchor on is 4.2%.
- **Labour costs ran hot in Q2, and still lost to inflation.** The Q2 employment cost index rose 0.9% against a 0.8% consensus, and 3.4% year-over-year — just below the 3.5% CPI. Compensation is accelerating enough to worry a committee that already had three dissents for a hike, and not enough to stop real wages falling. The front end traded exactly that on Friday: the 2-year rose 3.3bp while the 5-year rose 8.5bp.
- **Consumer sentiment rebounded off a very low base — and pump prices are turning.** The final University of Michigan reading for July was 55.2, up 11.5% on the month and ahead of the 54.0 consensus, still 10.5% below a year ago. One-year inflation expectations fell 0.4pp to 4.2%, the lowest since March; the five-year measure was unchanged at 3.3%. The improvement happened despite higher pump prices, which is unusual. Now the pump price has started to move the other way: AAA had the US national average at \$4.09 a gallon on Sunday, down two cents week-on-week, though still roughly 34% above the pre-war level. Gasoline is the fastest transmission line between Hormuz and the inflation expectations series.
- **China went backwards, and Caixin lands today.** The official manufacturing PMI fell to 49.2 in July from 50.3, against a 50.0 consensus — the first contraction since February — as export front-running unwound. The Shanghai Composite closed +0.72% and the CSI 300 +0.85% anyway. Caixin manufacturing prints today. A second sub-50 reading from a different survey would make the July contraction a fact rather than a print.
- **Japan held, and warned — and the warning is now partly hostage to crude.** The BoJ kept its policy rate at 1.00% on an 8–1 vote, Hajime Takata dissenting for 1.25%. The Outlook Report said core inflation will accelerate "clearly above" 2% from the second half of FY2026, citing wage pass-through, crude and the weak yen, before falling back as oil declines. Japan's July core CPI was 1.6%. If the oil assumption breaks early, the hawkish case built on it weakens with it — and the market currently reads September as live.
- **Tariffs remain the inflation input that a peace deal does not touch.** The administration's latest round — 10% to 12.5% on 60 trade partners under Section 301 — was cited by Warsh at the July press conference as one of the "economic shocks" the committee weighed. It is the policy input underneath Hedgeye's call for an August inflation re-acceleration that prints in September, and it is entirely independent of the Strait. Whatever happens in the negotiation, this part of Quad 3 stays.

11 Geopolitics

- ▲ **NEW — Trump cancelled a planned attack and says the outline of a deal exists.** In a Saturday evening Truth Social post the president said the "perimeters of a deal" had been agreed, and that it would include the "Immediate, Complete, and Total OPENING OF THE HORMUZ STRAIT, and an end to Iran's nuclear threat." He also said the US remains "locked and loaded and ready to go." Speaking to press aboard Air Force One on Sunday: "They knew the extent of the attack because they saw it forming. Now what we're doing is we're talking to them in the form of a negotiation. It begins tomorrow afternoon, and we'll see." He said he was asked to call it off by Saudi Arabia, the UAE, Qatar and by Iran, and that "there's a deal on Hormuz, and then there will be a deal on the nuclear." Saudi state media confirmed Crown Prince Mohammed bin Salman pressed for de-escalation in a call. **No strikes were reported from either side overnight into Sunday** — the first such lull in weeks.

- ▼ **Iran denies all of it, in specific terms.** Foreign ministry spokesperson Esmaeil Baqaei told IRNA that the understanding reached with Oman over a new shipping route "is unrelated to the reopening or continued closure of the Strait of Hormuz," describing it as "a necessary condition, but not a sufficient one," and blaming the closure on "the United States' breach of commitments, the US naval blockade of Iran" — adding that "the reopening of the Strait of Hormuz is an entirely different equation." Iranian state media denied Tehran asked for the attacks to be called off. Fars, the IRGC-linked agency: "Trump the fool has run out of steam!" There is no Iranian statement corroborating any element of the American account.
- ◆ **The base rate on this is poor, and it is recent.** The June memorandum of understanding was signed, held for weeks, and broke down: on 7 July Iran fired on three commercial vessels in Omani waters, CENTCOM struck in response, and by 12 July the IRGC had formally closed the Strait after firing a warning shot at a vessel using an unauthorised route. Trump reinstated the blockade on 13 July. The Strait has been impassable since 8 July, and this is not the first halt Trump has announced since the war began on 28 February. A price that moves 4% on the announcement is pricing a probability, not an outcome.
- ▼ **Meanwhile the physical situation has not changed.** Commonwealth Bank estimated on Friday that Hormuz transit had recovered to only 30–35% of pre-war levels, against a normal ~88 ships a day, and that 50–60% would be enough to reassert oversupply. A Qatari LNG carrier — the Gaslog Shanghai — was struck by an unidentified projectile 11 nautical miles northeast of Lima, Oman on Saturday, engine room disabled, no casualties: the first strike on the LNG trade specifically, in a strait that carries roughly a fifth of the world's LNG as well as a fifth of its oil. Ships attempting the Omani coastal route have been targeted by the IRGC. Saudi Arabia has been rerouting through Bab al-Mandeb, which the Houthis have also been attacking.
- ◆ **Gaza is moving in parallel, and in the same direction.** Trump has re-engaged on Gaza, with Palestinian sources saying the White House is pressing Israel to halt strikes and Jared Kushner working directly with the Israeli side. Hamas has said it is committed to disarmament, but only if Israel ceases fire, among other conditions; a senior Hamas official told CNN "the coming hours will be a test of seriousness, not intentions." Against that, Israel's energy minister Eli Cohen said there is no deal to halt attacks and that Israel — which already controls 70% of the Strip — needs to take full control. Strikes continued over the weekend.
- **The read.** Two things are true and they point opposite ways. The diplomatic track is the most advanced it has been since June, with four Gulf states and a US president publicly invested in it and a negotiation starting today. And the party that controls the waterway has publicly refused every premise of it, while its proxies keep hitting ships. The correct expression of that is smaller position sizes in energy rather than a directional switch — the risk premium can come out over weeks if talks progress, and it can go back in over hours if they do not. What is genuinely new for a portfolio is that the tail is now two-sided for the first time in five months.

12 Asia setup — today (Mon 3 Aug, pre-open)

INDEX	FRI 31 JUL CLOSE	THE MONDAY SETUP
Kospi (Korea)	▲ 6,595.45 (+17.91%)	THE BEST DAY IN THE INDEX'S HISTORY — +1,001.89pts. SK Hynix +29.95%, Samsung +26.81%. And the month: -22.19%, worst since 1997. EWY closed -2.55% after trading +5.7% — that is the gap risk in one number. Still ~29% below the 52-week high of 9,385.59
Kosdaq (Korea)	▲ 719.76 (+11.63%)	The small-cap leg confirmed it. LG Innotek +11.2%, Seoul Semiconductor +7.8%
Taiwan (TWII)	▲ 43,119.75 (+7.98%)	Five sessions reversed in one; closed at the high, 43,214.36. Same read-through risk as Korea, without the ETF mark
Nikkei 225	▲ 64,362.02 (+4.03%)	Ranged 61,948.23–65,364.73. Advantest +18%, Disco +13%, Lasertec +12%, Tokyo Electron +9%. Now faces a 3.3% weekly yen appreciation and a US session that faded the whole move
Shanghai	▲ 3,832.26 (+0.72%)	CSI 300 +0.85% to 4,588.20 despite the official PMI contracting to 49.2. Caixin manufacturing prints today
Shenzhen	▲ 13,578.93 (+2.21%)	Outperformed Shanghai on the tech read-through
Hang Seng	▲ 25,884.43 (+0.10%)	Fourth green day and the least excited market in Asia through the entire episode
Sensex	▲ 78,094.64 (+0.21%)	Fourth straight gain. India stayed the region's low-beta leg throughout. USD/INR 95.37, -0.31% overnight — a cheaper barrel is India's cleanest macro win
S&P/ASX 200	▲ 8,976.80 (+0.10%)	Barely participated; faded from 9,059.80 as Brent slipped in Asian hours. Heavy energy and materials weight — the most direct index expression of the weekend
S&P/NZX 50	▲ 13,749.80 (+0.37%)	LIVE — the only cash market trading. Up 50.52pts. Hedgeye is long New Zealand (ENZL, \$46.82, band 45.99–47.66)
Straits Times	▼ 5,628.50 (-0.79%)	Second down day, 1.5% off last week's 52-week high

All levels are Friday closes except the NZX 50, which is live. Asian cash markets open from 08:00 GMT+8 (Tokyo, Seoul), 09:30 (Hong Kong, Shanghai) and 12:15 (India).

- ◆ **The read.** Asia has two things to price at once and they conflict. The first is that New York distributed the entire move Asia bought on Friday — EWY -2.55% after trading +5.7% is the only real-time mark on Korea's record day, and it is negative. The second is that crude fell 4% over the weekend on a de-escalation headline, which is unambiguously good for every net-importing economy in the region: Japan, Korea, Taiwan, India, the Philippines. Those two forces point in opposite directions for the semiconductor complex and the same direction for everything else. Expect dispersion rather than a clean gap: energy-importer indices and currencies bid, memory names still exposed to Friday's New York reversal, and Korea carrying both. Set against Korea specifically: it is still 29% below its high, the forced seller is finished, JPMorgan says there is "more limited room for any further deleveraging," and the Samsung supply story is unchanged. But a record daily gain inside a -22.19% month is a market-structure event, and market-structure events do not compound.

13 AI watch

- **The capex number is the whole debate, and cheaper energy is a real input to it.** The four hyperscalers guided this week to a combined \$720–745bn of 2026 capital expenditure, and Bloomberg puts Big Tech's total outstanding AI spending commitments at roughly \$2 trillion. Two weeks ago the market was selling these names on fear that AI demand was rolling over. It is not the demand in question now — it is who funds the depreciation and at what cost of capital, with the 10-year at 4.745% and the 30-year at 5.28%. Both of those numbers are set at the long end, both fell overnight, and data-centre operating cost is itself an energy line. A durable de-escalation in crude helps the AI capex cycle twice: through the discount rate and through the power bill.
- **The revenue side keeps refusing to decelerate.** Azure past \$100bn of annual revenue on 43% constant-currency growth; AWS +37% and accelerating to its fastest in 15 quarters; Google Cloud +82%. Three different clouds, three different starting points, all accelerating in the same quarter. Whatever else is true about this cycle, the enterprise spend showing up in reported revenue is real and compounding.
- **But the market has separated the sellers of AI from the buyers of memory, twice in two days.** Thursday: memory producers +18% to +22% on a Samsung shortage warning. Friday: Micron –5.90%, AMD –1.90%, SMH round-tripping \$21, while Amazon and Alphabet — which pay for that memory — rose 15% and 7%. Apple, which pays for it and cannot pass it on quickly, fell 7.35% naming exactly that cost. The shortage is simultaneously a three-year pricing regime and a margin problem, and the market refuses to hold both positions on the same day. AMD reports Tuesday and will force the question again.
- **Hedgeye is short the AI complex in three separate expressions.** AIQ (\$58.89, band 55.59–61.66), IVES (\$36.04, 33.17–37.70) and PTF (\$98.14, 83.44–111.00), plus XLK (\$175.35, 165–184) and the newly added GVIP. All five were added in the last two weeks and all five are inside their TREND bands. This is the cleanest statement of the house view that the AI trade is a positioning problem rather than a fundamentals problem — and it is the part of the book that a bond rally works against, not for.
- **The circularity question is now being asked in Seoul, not just New York.** Korean strategists writing into Monday flag concern that Nvidia's AI infrastructure arrangements — reported at more than \$750bn in aggregate — involve "circular financing" that may be distorting measured demand. That is the same objection that took the Nasdaq-100 down 6.95% in July, arriving in the market that just posted its best day on record for the opposite reason. Whichever way Seoul opens, the two halves of Korea's week cannot both be right.
- **And the cautionary tale is closed out.** Leopold Aschenbrenner's Situational Awareness — \$45bn at the start of July, levered long AI hardware and short the enterprise software it was meant to disrupt — was margin-called into liquidating its entire public book. JPMorgan told clients the deleveraging in tech, semis and memory "has advanced faster than we had previously anticipated" with "more limited room for any further deleveraging." That is why the crash stopped. It is not why it would restart.

14 Beyond the markets

- **Announcements are not agreements, and this one has an unusually short half-life.** The president of the United States said on Saturday that the perimeters of a deal had been agreed. Within 24 hours the counterparty's foreign ministry had said the underlying understanding was "unrelated" to the thing being claimed, its state media had called him a fool, and its officials had denied requesting the pause. Crude still moved 4%. That is a reasonable market response to a real change in the probability distribution — but it is worth being explicit that what was priced was a US statement about a negotiation, not a negotiated outcome, and the negotiation has not begun.
- **Gold's behaviour this weekend is the cleanest evidence that this was never a fear trade.** Textbook says peace headlines sell gold. Gold rose 0.37% and silver 1.18%. The explanation is that gold has been down roughly 12% since February not despite the war but because of it — energy drove inflation expectations, inflation expectations drove real yields, and forced liquidation finished the job. Remove the war and you remove the yield, and the metal gets paid. Anyone holding gold as war insurance has had the position work backwards all year; this weekend was the first time the mechanism was visible in a single session.
- **A \$75m theft that never touched a device.** A firmware change made on 1 March 2021 caused certain Coldcard hardware wallets to silently fall back to a software random number generator, making supposedly unguessable seed phrases computationally enumerable for five years. On the last night of July the attacker swept 594 BTC (~\$38.3m) from around 500 wallets in 25 minutes; Galaxy Research identified a second wave on Saturday taking the total to 1,158.66 BTC, roughly \$75.1m, from 2,673 addresses — every coin from a wallet created after 17 March 2021. None of it has moved. Changpeng Zhao's response: "Nothing is 100%." Self-custody was the one part of the bitcoin thesis supposed to be free of counterparty risk. It turns out it had a vendor.
- **The Fed is deliberately becoming harder to read, and the bond market keeps doing the work.** No forward guidance, three dissents in the hawkish direction, and a proposal from the Chair to meet less often, with a decision possible before the mid-September meeting. There is a coherent case for it — central banks that speak less force markets to price fundamentals rather than communication. Friday showed the cost: with nothing to trade off, the market traded oil, and yields followed crude to a 19-year high in the long bond. This morning it traded oil again, in the other direction, and the long bond rallied half a percent. Less information does not reduce volatility. It relocates it — to whichever price is loudest that day.
- **And July is in the record books, several times over.** In the same 22 sessions: the worst month in the history of Goldman's High Beta Momentum basket; the worst month for semiconductors since 2008; the worst month for the Nasdaq-100 since March 2025; the worst month for the Kospi since 1997; the largest single-day market-value gain by any company ever; the largest single-day gain in the history of the Korean stock market; a \$45bn fund liquidated; a 19-year high in the 30-year Treasury; a 40-year low in the yen and two currency interventions; a Gulf state entering a shooting war; the first attack on Egyptian soil of the conflict — and a Dow Jones Industrial Average that closed up 0.32%, its fourth consecutive winning month. If you owned the index and read nothing, July was uneventful. Almost nobody owned the index.

15 Appendix — stock cards

Names in focus plus top global names — last + day · market cap · next key date · one-line read. Equity prices are Friday 31 July cash closes; futures, FX and crypto are live at 06:55–07:15 GMT+8 Monday. No charts.

The weekend trade — energy

WTI CRUDE (SEP)

\$81.07 ▼ -4.25%

LIVE 07:15 · Band \$79.27–\$92.90 · Floor 2.2% away

Opened ~-5.5%, bounced, then rolled over again. Trump halted strikes and OPEC+ added 188k b/d. Bearish TRADE, bullish TREND.

RBOB GASOLINE (SEP)

\$3.0488 ▼ -2.10%

LIVE · Hedgeye long UGA \$117.94 (110–125)

Fell half as far as crude. Crack spreads widen on that — the refiner long is the least exposed energy leg.

CHEVRON (CVX)

\$196.83 ▲ +2.35%

Cap \$392.0B · Reported 31 Jul

Net income \$12bn, ~+400% y/y; adj EPS \$6.06 vs \$5.56. Wirth: "firing on all cylinders." A war quarter into a peace headline.

BP (BP)

Reports today

Before the US open · North Sea exit announced

Selling its entire North Sea business — ~1,100 staff, two hubs, three sites west of Shetland. First major to report into the break.

US — the two that moved the index

AMAZON (AMZN)

\$271.58 ▲ +15.32%

Cap \$2.92T · Reported 30 Jul

AWS +37% to \$42.2bn, fastest in 15 quarters. Added ~\$390bn of value. Capex to ~\$220bn on memory costs.

APPLE (AAPL)

\$308.91 ▼ -7.35%

Cap \$4.54T · Reported 30 Jul

Services and China short; Sept quarter guided light on supply constraints. Cook's final earnings call as CEO.

US — mega-caps

ALPHABET (GOOGL)

\$356.13 ▲ +6.73%

Cap \$4.36T · Reported 22 Jul

Google Cloud +82%. Bid on AI monetisation two days after being sold as a defensive.

MICROSOFT (MSFT)

\$464.72 ▲ +3.02%

Cap \$3.45T · Reported 29 Jul

Up >20% in July — best month since October 2007. Azure past \$100bn annual revenue.

NVIDIA (NVDA)

\$200.75 ▲ +2.93%

Cap \$4.86T · Reports late Aug

Back over \$200 and the largest company on earth. Participating, not leading, for a third session.

META (META)

\$556.71 ▲ +3.28%

Cap \$1.42T · Reported 29 Jul

A bounce off a historic losing streak. Still ~30% below the 52-week high of \$796.25.

TESLA (TSLA)

\$311.21 ▲ +0.76%

Cap \$1.23T · Reported 22 Jul

Held \$300 for a third session. The Mag7 laggard, with no catalyst of its own.

PALANTIR (PLTR)

Reports tonight

After the US close · Cons. rev ~\$1.81bn, +81%

The first high-multiple AI name to report into a week with a live peace negotiation and a bond rally. Date disputed by Yahoo's dock.

The memory complex — Friday's reversal, unresolved

MICRON (MU)

\$823.03 ▼ -5.90%

Cap \$929.5B · Reports late Sep

Traded \$930.88 to \$818.00. Gave back a third of Thursday's +18.4% and then some. The tell.

AMD

\$476.15 ▼ -1.90%

Cap \$776.4B · Reports 4 Aug

High \$515.62, close \$476.15. Reports Tuesday into a tape that has changed direction three times this week.

INTEL (INTC)

\$90.20 ▼ -1.02%

Cap \$455.0B · Reported 24 Jul

High \$97.90, close \$90.20. Most-active again. Six chipmakers added to the US government portfolio.

SMH (SEMIS ETF)

\$540.53

High \$561.44 Friday

Round-tripped \$21 inside the session. The single cleanest picture of Friday's distribution.

Asia — the record, and the currency

KOSPI (KOREA)

6,595.45 ▲ +17.91%

Month -22.19% · Reopens 08:00 today

Best day in the index's history, inside its worst month since 1997. SK Hynix +29.95%, Samsung +26.81%.

EWY (KOREA ETF)

\$157.10 ▼ -2.55%

Hedgeye short · TREND band 141–175

Traded \$166.04 and closed red. The US-listed mark on Korea's record day — and today's gap risk in one number.

NIKKEI 225

64,362.02 ▲ +4.03%

BoJ held 1.00% on 31 Jul · Next 18 Sep*

Semis led. Faces a 3.3% weekly yen appreciation, a US session that faded the move, and now cheaper crude.

USD/JPY

157.403 ◆ +0.00%

LIVE · 52wk low print 163.98

Flat after two operations in 48 hours, the second reportedly joint US–Japan. No third operation needed over the weekend.

TAIWAN (TWII) 43,119.75 ▲ +7.98% Reopens 09:00 today Closed at the high. Five sessions of damage reversed in one, on a foreign market's cue that was later retracted.	S&P/NZX 50 13,749.80 ▲ +0.37% LIVE — only open cash market First read on how Asia-Pacific takes the weekend. Modestly positive. Hedgeye long ENZL at \$46.82.
Rates, dollar, crypto	
US 10Y YIELD 4.745% ▲ +8.2bp Fri close · Band 4.59–4.71% · BROKEN Highest since January 2025 and Yahoo's 52-week high. ZN +0.32% overnight implies a partial recovery back toward the ceiling.	US 30Y YIELD 5.28% ▲ +7bp Fri close · 19-year high The vigilantes' verdict on a Fed that handed policy back to the market. ZB +0.49% overnight — the first real bid in three weeks.
US DOLLAR (DXY) 99.65 ▼ -0.26% LIVE · Band 99.76–102.01 · BROKEN Through the floor two days into a new long. Range 99.55–99.69. Reduce-to-min-size is the rule Keith wrote for this.	VIX 15.99 ▼ -6.44% Fri close · Band 15.77–20.56 · Bearish 0.22 off the floor; day low 15.82. Cheapest insurance in three weeks into the densest calendar since the FOMC.
BITCOIN (BTC) \$63,409 ▲ +1.03% (24h) Cap \$1.27T · LIVE 07:15 · TRADE circa \$64,000 Below TRADE and TREND but closing on the line. \$75m Coldcard exploit over the weekend; Strategy has not bought for five weeks.	SPACE X (SPCX) \$108.37 ▼ -3.41% Cap \$1.43T · Reports 4 Aug · Unlock 6 Aug Record low, -36% in a month. First earnings Tuesday; ~911.5m shares unlock Thursday. The week's most binary event.

**The BoJ's 18 September meeting date is the conventional calendar and was not confirmed against a primary BoJ release.*

Sources

Live futures, FX, commodities, crypto, index and ETF levels: Yahoo Finance market data captured 06:55–07:15 GMT+8 Monday 3 August via logged-in browser — Globex futures timestamped 6:57–6:59PM EDT Sunday, spot FX and crypto live, US cash equity levels are official 16:00 EDT Friday closes. Cash Treasury yield indices (^TNX, ^TYX, ^FVX, ^IRX) are Friday closes; the overnight rate move is inferred from ZB/ZN/ZF/ZT. 2-year yield carried from CNBC's Friday 17:05 EDT quote. **Hedgeye** — ETF Pro Plus New Weekly Report (08/02/26 06:22 PM EDT = 06:22 GMT+8 Monday), Early Look "Crash, Bounce, Then?" (Keith McCullough, 31 Jul 07:38 EDT), Macro Week Summary Notes | July 31st 2026, Macro Show Summary Notes & Replay (31 Jul), Signal Strength Stocks, MOMO Tracker and Portfolio Solutions Daily ETF Re-Rank — logged-in FULL edition, feed re-checked 07:00 GMT+8 Monday. **Iran de-escalation, negotiations and Gaza:** CNN live blog "US-Iran war; Trump says talks to resume Monday after he called off strikes" (2 Aug), including Trump's Air Force One remarks, Saudi state media on the MBS call, Iranian foreign ministry spokesperson Esmail Baqaei via IRNA, and Fars; US News and Washington Times on the Saturday Truth Social post. **OPEC+ September increase and JMMC statement:** CNN (2 Aug) reporting the Joint Ministerial Monitoring Committee outcome. **Oil at the reopen and US gasoline:** CNN (2 Aug) citing the futures open and AAA. **Week ahead, ISM and payrolls consensus:** TradingKey "August 3–7 2026 preview", CMC Markets, Schaeffer's, Kiplinger and CNBC "jobs report June 2026" for the +57,000 / 4.2% June base. **Friday session narrative, single-stock percentages, sector data and corporate news:** CNBC "Stock market news for July 31, 2026" live blog and Yahoo Finance "Stock market today" live blog (31 Jul), as carried in the 31 July, 1 August and 2 August editions of this brief. **Yen intervention:** Bloomberg "Yen Gains on Intervention, Reports of Buying by Both US, Japan" (31 Jul). **Gaslog Shanghai LNG strike:** Bloomberg (1 Aug), UKMT0, Vanguard Tech and Marisks. **Hormuz transit volumes:** Commonwealth Bank of Australia via CNBC. **Coldcard exploit:** CoinDesk and Galaxy Research. **Strategy/MSTR Q2, BoJ, Q2 ECI, University of Michigan, China official PMI and the Warsh FOMC-frequency report:** as sourced in the 31 July, 1 August and 2 August editions.

Data-confidence

CROSS-CHECKS PASSED. Every live futures row reconciles exactly off the settled Friday marks published in Sunday's edition, which is the strongest available evidence that both snapshots are the same continuous tape and that Sunday's settlement revisions were correct: ES 7,519.25 + 25.75 = 7,545.00; NQ 28,404.25 + 152.00 = 28,556.25; YM 52,635 + 159 = 52,794; RTY 2,938.00 + 13.80 = 2,951.80; WTI 84.67 - 3.60 = 81.07; gold 4,107.00 + 15.40 = 4,122.40; silver 57.786 + 0.68 = 58.466; nat gas 2.747 + 0.002 = 2.749. Copper is the one row that will not reconcile at displayed precision — 6.4655 + 0.07 = 6.5355 against a quoted 6.54 and +1.20% — because Yahoo rounds the price to two decimals while computing the percentage off unrounded values; the percentage is the figure to use. Separately, **Hedgeye's ETF Pro Plus report published this morning independently confirms sixteen Friday ETF closes to the cent** against this brief's Yahoo capture — XLE 59.55, CRAK 55.24, CERY 35.96, UGA 117.94, UUP 28.17, XLV 162.55, XLRE 45.07, RSP 215.01, EWZ 36.65, ENZL 46.82, EPHE 25.56, VTIP 49.66, XLK 175.35, EWY 157.10, GVIP 167.99, LIT 69.22. That is two independent sources agreeing, not one source repeated.

RESOLVED — the payrolls consensus conflict is closed. The 1 August edition carried a 5.4% July unemployment-rate consensus from a single source; the 2 August edition withdrew it as irreconcilable. It is now resolved against that figure: June 2026 nonfarm payrolls rose +57,000 with the unemployment rate at 4.2% (CNBC, 2 July), and economists expect 4.2% again for July. No firm payrolls consensus had been published at this brief's data cut. Anchor on 4.2%; establish your own payrolls number before Friday.

KNOWN CONFLICTS AND WEAK MARKS. (1) **Brent has no reliable live print.** Yahoo's BZ=F still shows \$90.12 timestamped Friday 14:28 EDT on 1,016 lots and has not updated through the reopen; CNN put Brent about -5.6% near \$83 at 06:00 GMT+8. This brief therefore carries no Brent level. Verify independently before trading the spread. (2) **DXY delta.** The 99.65 level and the 99.55–99.69 range are firm, but Yahoo's -0.26% implies a prior close of 99.91 against the 99.80 this brief published on Sunday and the 99.97 published on 31 July. The change has now been reported four different ways across four snapshots. Level firm, delta unstable — this is the third consecutive edition flagging it. (3) **Dow Friday change — this brief overrides the live source.** Yahoo now displays +276.93, but 52,208.06 + 276.93 = 52,484.99, which does not tie to the published close of 52,485.03. The +276.97 carried in Sunday's edition does tie exactly. This brief therefore uses +276.97, against the number currently on screen. Four cents, but the arithmetic decides it. (4) **Earnings dates, third day unresolved.** Yahoo's calendar dock lists Palantir on 4 August and SpaceX on 5 August; CNBC, Reuters, TradingKey and the companies put Palantir on Monday 3 August and SpaceX after the close on Tuesday 4 August. This brief uses the latter. (5) **ISM consensus figures** (54.0 headline, 70.0 prices paid, 57 new orders) are from secondary week-ahead previews, not a primary survey house. (6) **Korean single names.** SK Hynix +29.95% and Samsung +26.81% are TradingKey/Outlook Business closing figures; CNBC carried +25% and +20% intraday. Press-reported, not captured here. (7) **Palladium and platinum** Friday moves were carried from the 1 August edition and remain unverified against a settled Friday mark, though both have live Monday futures prints in section 3.

KNOWN GAPS. Hedgeye's **Trend & Tail Levels | Monthly Dashboard**, published 06:45 GMT+8 this morning, is outside this subscription's entitlements and was not retrieved — it is a monthly product and would likely have carried updated TREND and TAIL levels for the major indices. Treat section 4 as complete on the immediate-term Risk Ranges and the ETF book, and silent on monthly TAIL levels. Hedgeye's Friday MOMO Tracker and Crypto Quant bodies are published as images and are quoted from headlines only. Page 2 of the Macro Week Summary was not retrievable in the prior session and remains unread; from the thumbnail it contains the US Monthly Quad Forecast chart and Chart of the Week. Sector percentages are Yahoo's own classification, not GICS S&P sector indices. USD/KRW was not captured and is worth checking independently before the Seoul open. The Kospi's -22.19% July figure and "worst since 1997" claim are press-reported, not computed here.

TIMING & UNVERIFIED. This brief was generated ~07:30 GMT+8 Monday 3 August off a data snapshot taken 06:55–07:15. **All Asian cash markets except New Zealand were closed at capture;** Tokyo and Seoul open 08:00, Hong Kong and Shanghai 09:30. US cash equity, ETF and cash-yield levels are Friday closes and are roughly 63 hours stale. Futures had been trading for approximately one hour on thin volume — ES 20,332 lots, WTI 17,043, YM only 1,208 — and early Globex prints on a headline weekend are not a reliable guide to the US open. **The entire de-escalation story rests on statements from one side.** Trump's account of agreed "perimeters" is his own characterisation; Iran's foreign ministry has publicly contradicted its central premise, Iranian state media denies Tehran requested the pause, and no ceasefire, timetable or signed instrument exists. Trump has announced halts to strikes several times since the war began on 28 February, and the June memorandum of understanding broke down within weeks. The OPEC+ 188,000 b/d September increase is confirmed by the JMMC statement. The joint US–Japan intervention remains Bloomberg reporting citing unnamed sources; Japan's MoF has not confirmed any intervention. The Gaslog Shanghai strike is reported from security consultancies and ship-tracking data; the projectile is unidentified and unclaimed. Warsh's meeting-frequency proposal is New York Times reporting, not an announced Fed decision. Verify live before acting. **This is the FULL Hedgeye edition (logged-in browser reachable).**